

Asia Insights

Economics - Asia ex-Japan

China: Growth of both exports and imports slowed in June but remained elevated

Export growth in USD terms came in at 23.9% y-o-y in July (Consensus: 23.0%; Nomura: 22.9%), roughly in line with expectations and slowing from 27.0% in June. Import growth also slowed to 27.5% in July from 36.0% in June, slightly below market expectations (Consensus: 29.5%; Nomura: 31.5%). As a result, the trade surplus narrowed to USD112.5bn in July from the record USD125.6bn in June, although it still marked the third-highest monthly surplus on record and was USD15.3bn wider than a year earlier.

As we have flagged in recent months, robust semiconductor trade remained the dominant driver of still highly elevated export and import growth in July, while the composition of that growth shifted slightly at the margin. We estimate integrated circuits (ICs) contributed 6.5pp to headline export growth in July, unchanged from June and equivalent to 27.2% of the total. Together with automatic data processing (ADP) equipment, which is also closely linked to the current global AI boom and contributed an additional 3.5pp, AI-related exports accounted for 10.0pp, or 42%, of total export growth. While price effects still play the predominant role, these faded very modestly: IC export volume growth turned positive at 1.9% y-o-y in July (June: -0.5%), while the implied price contribution narrowed to 112.6pp from 123.3pp. In our view, it is worth watching whether this is a tentative sign that the extraordinary pure price effects of the current chip cycle may be peaking in terms of their year-over-year contribution.

Export growth to the US increased to 17.1% y-o-y in July from 15.0% in June, partly due to a slightly lower base a year ago. We attribute some of the pickup to front-loading ahead of the expiry of the Section 122 tariffs on 24 July and their replacement by Section 301 tariffs of 12.5%, and we would therefore expect some modest payback in August. Import growth from the US slowed markedly to 15.4% y-o-y in July from 25.2% in June.

On the import side, the 8.5pp decline in headline growth was not chip-driven. Growth of IC imports in value terms eased only marginally to 71.1% y-o-y in July from 72.2% in June and, by our estimates, ICs still contributed around 11.4pp – over 40% – of headline import growth. Import growth from South Korea increased further to 97.9% y-o-y in July from 84.8% in June. The contraction in crude oil import volumes narrowed sharply to -24.3% y-o-y in July from -41.3% in June, as Beijing partially resumed purchases, consistent with our expectations.

The value growth of semiconductor trade stayed strong

The ongoing AI-driven global technology supercycle continues to support semiconductor trade, although the price-volume divergence narrowed slightly on both sides of the trade account in July for the first time this cycle.

- Growth of IC exports in value terms eased to 116.8% y-o-y in July from 122.3% in June, while in volume terms it turned positive at 1.9% (June: -0.5%), implying a price contribution of 112.6pp, narrowing from June's 123.3pp contribution and the first moderation since the cycle began.
- ICs contributed 6.5pp to headline export growth in July (or 27.2% of the total), unchanged in absolute terms from June, with the price effect still accounting for the overwhelming majority.
- On the import side, ICs account for a larger share of imports than exports. Growth of IC imports in value terms edged down to 71.1% y-o-y in July from 72.2% in June, while in volume terms it accelerated to 8.5% (June: 6.6%), with price effects contributing 57.7pp to July growth, narrowing from June's 61.5pp contribution.
- By our calculations, ICs alone accounted for around 11.9pp of headline import growth in July (or roughly 41%), unchanged from June's 11.9pp. At the country level, import

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growth from South Korea – by far the world's largest memory chip producer – rose further to 97.9% y-o-y in July from 84.8% in June, confirming that tech import momentum remains fully intact, even as headline import growth slowed.

Export growth remains solid across major destinations

On DM, export growth to the US increased to 17.1% y-o-y in July from 15.0% in June, while export growth to the EU moderated to 16.2% from 18.6%. Amid the global AI super cycle and booming semi trade along the regional supply chain, export growth to South Korea rose to 47.0% y-o-y in July from 43.7% in June, while Japan also recorded a rebound to 14.5% from 7.1%. On EM, export growth to ASEAN increased to 38.5% y-o-y in July, the highest since May 2021, from 36.8% in June, while growth to India slowed markedly to 14.1% from 40.8%. Elsewhere, export growth to Australia, Canada and Brazil moderated to 14.0% y-o-y, 12.0% and 15.4%, respectively, in July from 32.1%, 20.2% and 29.2% in June, while growth to South Africa increased to 35.3% from 29.7%.

China's trade growth with the US remains stable

As the US refunds its tariff revenues collected from the IEEPA tariff framework to exporters, growth of exports to the US rose to 17.1% y-o-y in July from 15.0% in June, while import growth from the US slowed to 15.3% y-o-y in July from 25.9% in June. With higher export growth and lower import growth, China's trade surplus with the US was RMB28.0bn in July, above the RMB23.7bn recorded in July 2025.

On 23 July, the Trump administration announced a set of new Section 301 tariffs on 60 economies, including 12.5% on China, to substitute the section 122 tariffs, under which the tariff on China is 10%. On net, this would increase the US tariffs on China by 2.5pp. According to the Ministry of Commerce, during the China-US economic and trade consultations, the US side explicitly committed that the replacement tariffs on Chinese goods would not exceed 20%. At present, the replacement tariffs imposed by the US side on Chinese goods stand at 12.5%. China's countermeasures in response to the first round of the so-called fentanyl tariffs and reciprocal tariffs by the US side remain in effect. With deeply negative US-bound export growth in H2 2025, base effects will remain supportive in H2 2026.

Export growth in electrical products remained highly robust in July

Export growth of electronic products in value terms continued to surge amid the global AI upcycle, primarily driven by price effects rather than real volumes. Growth of integrated circuit exports moderated slightly to 116.8% y-o-y in July from 122.3% in June, but remained highly robust, as global chip prices remained elevated. Export growth of automatic data processing (ADP) equipment and components (mainly computers and parts thereof) increased further to 67.9% y-o-y in July (June: 53.2%). Growth of mobile phone exports inched down marginally to 27.1% y-o-y in July from 27.8% in June, which was still supported by price effects due to surging input costs.

On transport equipment, growth of auto exports (including chassis) moderated slightly to 60.3% y-o-y in July from 69.5% June, still strong amid rising global demand for EV cars. Growth of auto spare part exports also declined to 13.7% y-o-y in July from 19.0% in June. Growth of ship exports more than doubled to 94.3% y-o-y in July from 42.4% in June.

Export growth of labor-intensive products broadly improved in July. In particular, export growth of clothing, shoes, bags and toys came in at 8.5% y-o-y, 2.7%, 7.3% and -1.7%, respectively, in July, up from 3.0%, -1.1%, 1.7% and -6.4%, in June.

Import growth slowed but remained elevated

Import growth also moderated to 27.5% in July from 36.0% in June, slightly below market expectations (Consensus: 29.5%; Nomura: 31.5%), due to a broad-based moderation across both ordinary imports and processing and assembly imports, but they remained highly elevated, as price effects from AI-related tech products continued to contribute notably.

Non-oil ordinary imports value growth moderated to 27.6% y-o-y in July from 33.5% in June. Value growth of processing and assembly imports, which are more AI-related, also slowed modestly to 46.8% y-o-y in July from 51.2% in June, which is consistent with the narrowing price effects of AI-related products, including memory chips. Growth of integrated circuits imports in value terms edged down slightly to 71.1% y-o-y in July from 72.2% in June, while in volume terms, it picked up to 8.5% y-o-y from 6.6%.

On crude oil imports, value growth rose slightly to -4.6% y-o-y in July from -7.4% in June,

driven mainly by volume effects. In volume terms, it rebounded to -24.3% y-o-y in July from -41.3% in June, as Beijing started to resume crude oil imports in July amid falling crude prices following the signing of the Memorandum of Understanding between Tehran and Washington on 17 June.

Import volume growth for other key commodities broadly decreased in July. Volume growth of coal and soya bean imports retreated notably to 20.0% y-o-y and -2.6%, respectively, in July, from 29.5% and 7.7% in June. Volume growth of iron ore imports also dropped to 3.3% y-o-y in July from 6.4% in June. Volume growth of copper imports declined sharply to -11.5% y-o-y in July from 4.0% in June.

Fig. 1: Merchandise trade related indicators

Merchandise trade related indicators	Jul 26	Jun 26	Q2 26	Q1 26	2025	2024
Exports (% y-o-y)	23.9	27.0	20.2	14.7	5.4	5.8
By destination: the US	17.1	15.0	20.1	-16.3	-20.0	4.9
European Union	16.2	18.6	13.1	21.1	8.4	3.0
Japan	14.5	7.1	7.3	6.9	3.5	-3.5
ASEAN	38.5	36.8	25.1	20.5	13.4	12.0
Imports (% y-o-y)	27.5	36.0	29.5	23.4	0.3	1.0
By origin: the US	15.4	25.2	18.6	-17.6	-14.6	-0.1
By type of trade:						
Ordinary imports	21.3	25.3	11.8	11.8	-4.2	-3.1
Non-oil ordinary imports	27.6	33.5	19.0	16.4	-3.1	-2.8
Crude oil imports	-4.6	-7.4	7.0	-4.7	-8.8	-3.9
Processing & assembly imports	46.8	51.2	43.5	34.8	11.9	5.7
Commodities, in volume terms						
Crude oil	-24.3	-41.3	-30.3	8.9	4.4	-1.9
Iron ore	3.3	6.4	2.3	10.5	1.8	4.9
Copper	-11.5	4.3	3.8	-14.2	-6.4	3.4
Coal	20.0	29.5	2.1	1.3	-9.6	14.4
Soybeans	-2.6	7.7	4.1	-3.1	6.5	5.7
Trade balance (USD bn)	112.5	125.6	315	261	1180	993
By destination: the US	28.4	26.5	76	49	280	361

Source: General Administration of Customs, Wind, Nomura Global Economics

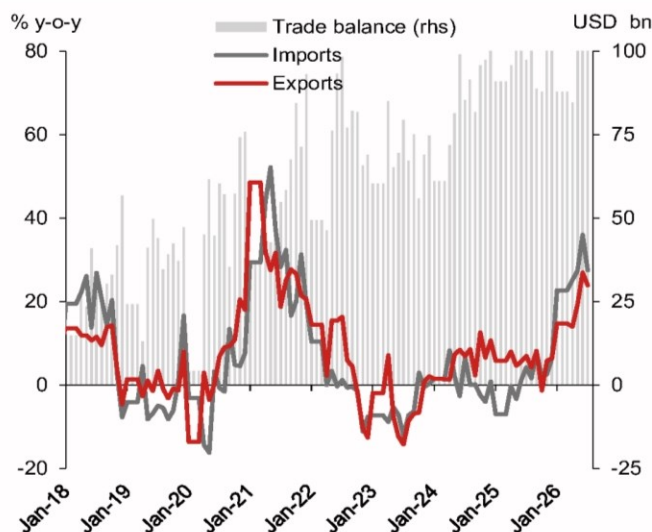
Fig. 2: Export by key product

Major export goods (in USD terms)	Jul 26	Jun 26	Q2 26	Q1 26	2025	2024	Jul 26
	y-o-y, %						Contribution to export growth (pp)
Vehicle							
Motor vehicles and chassis	60.3	69.5	50.4	58.5	21.4	15.5	2.56
Automobile spare parts	13.7	19.0	10.2	4.7	2.5	6.6	0.49
Electrical products							
Automatic data processing equipment and components	67.9	53.2	55.3	26.7	-1.4	9.9	2.79
Integrated circuits	116.8	122.3	111.4	77.5	26.6	17.3	6.80
Mobile phones	27.1	27.8	27.0	-4.7	-9.4	-3.2	0.65
Audio-video equipment and parts	12.0	12.4	13.1	13.2	5.5	4.6	0.13
Liquid crystal display panels	-0.8	9.4	0.4	15.3	11.0	9.0	0.09
Mechanical products							
Universal mechanical equipment	31.5	15.2	4.6	7.1	6.1	14.2	0.26
Ships	94.3	42.4	15.9	48.7	27.0	57.3	0.49
Medical devices	12.9	17.0	16.4	11.5	6.0	7.0	0.10
Property-related products							
Ceramic products	-41.8	-48.9	-52.6	9.2	-3.3	-15.7	-0.29
Home electric appliances	6.6	15.4	10.6	1.5	-3.9	14.0	0.40
Lighting and parts	2.3	-4.3	-11.7	-5.3	-12.4	-0.2	-0.04
Furniture and parts	11.2	9.0	2.3	3.0	-6.2	5.7	0.14
Commodities & industrial products							
Steel products	5.3	10.3	-0.4	-10.8	-1.3	-1.1	0.22
Unwrought aluminum and aluminum products	44.8	76.9	48.0	16.5	-3.3	15.2	0.44
Petroleum products	15.9	30.6	24.4	3.6	-8.5	-13.3	0.33
Rare earth	43.0	178.8	202.1	-9.0	4.6	-36.0	0.02
Agricultural products							
Aquatic products	9.2	20.0	9.5	5.3	1.1	4.1	0.52
Grain	-2.7	10.5	3.3	-3.8	0.0	1.3	0.05
Fertilizers	-7.7	23.1	-9.2	8.8	27.3	-18.9	0.01
Chinese herbs & medicines	-75.8	-54.8	-16.4	22.6	57.9	-11.5	-0.36
Labor intensive products							
Plastic products	16.4	17.5	12.8	7.5	-1.4	5.2	0.48
Bags & containers	7.3	1.7	-4.7	-1.1	-13.5	-3.3	0.01
Garments and clothing accessories	8.5	3.0	-0.9	-0.4	-5.0	0.0	0.14
Footwear	2.7	-1.1	-9.1	-8.0	-11.3	-5.0	-0.01
Toys	-1.7	-6.4	-8.4	-14.8	-12.7	-1.7	-0.07
Textile, yarn and fabrics	6.4	12.2	4.2	2.8	0.4	5.5	0.44
Electrical-mechanical products	33.9	34.3	27.4	21.4	8.3	7.4	20.66
Hi-tech products	52.9	52.6	47.6	28.6	7.4	4.7	12.77

Note: Key products are recombined items by HS code. Agricultural, electrical-mechanical and high-tech products are broader categories that may overlap with each other and other key products.

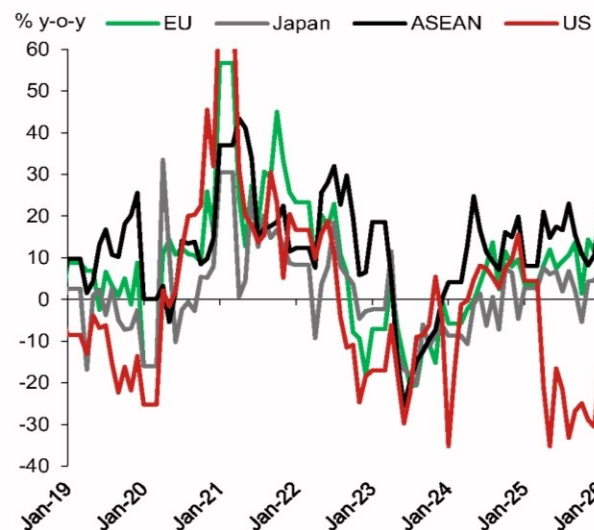
Source: General Administration of Customs, Nomura Global Economics.

Fig. 3: Export growth, import growth and the trade balance



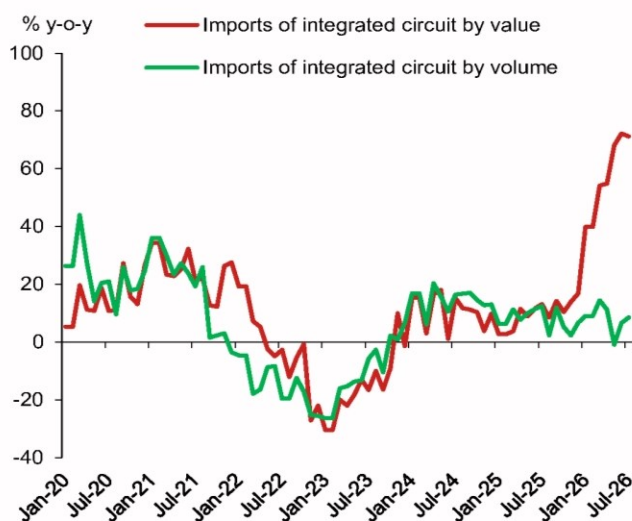
Note: We use the average of January-March data to largely smooth out the CNY distortions.
Source: General Administration of Customs, Wind, Nomura Global Economics

Fig. 4: Breakdown of exports by destination



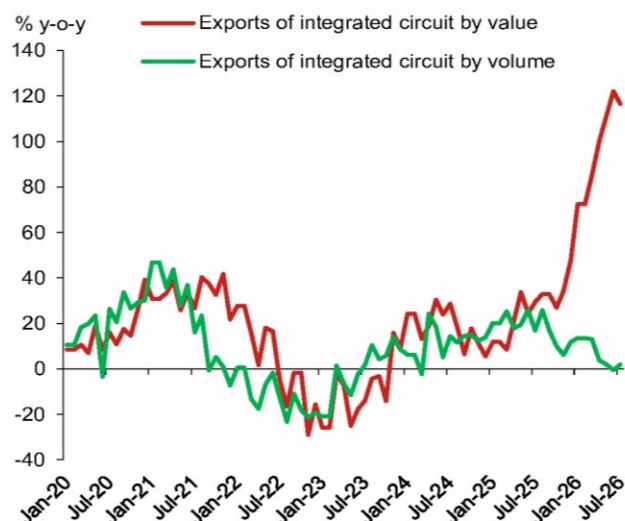
Note: We use the average of January-March data to largely smooth out the CNY distortions.
Source: General Administration of Customs, Wind, Nomura Global Economics

Fig. 5: Growth of integrated circuit imports — a sharp divergence between value growth and volume growth

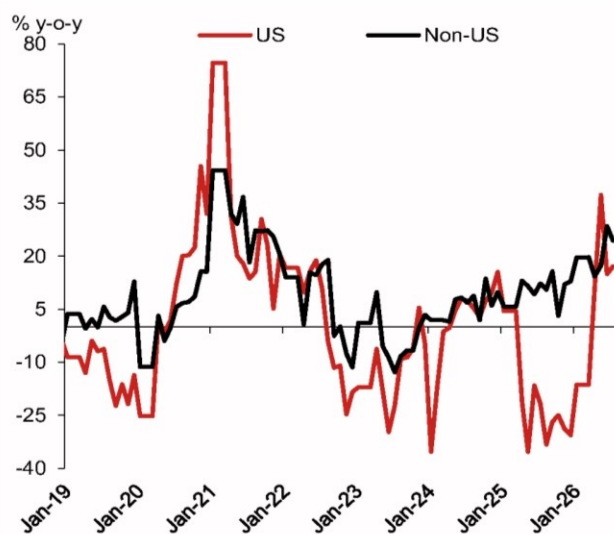


Source: General Administration of Customs, Wind, Nomura Global Economics

Fig. 6: Growth of integrated circuit exports — a huge divergence between value growth and volume growth

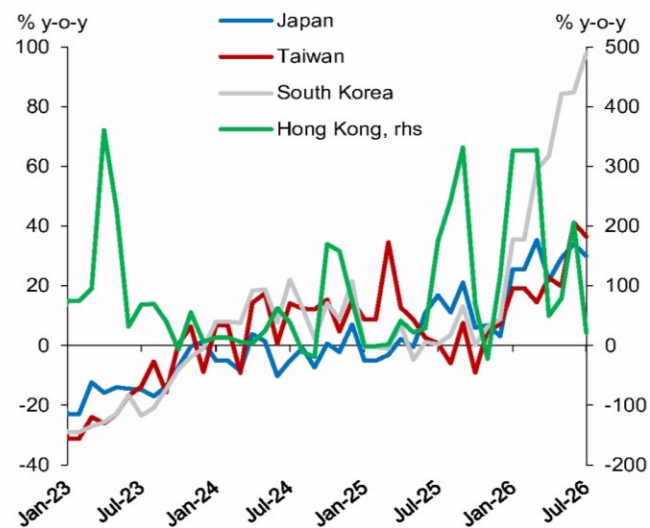


Source: General Administration of Customs, Nomura Global Economics

Fig. 7: Export growth to the US and non-US destinations

Note: We use the average of January-March data to largely smooth out the CNY distortions.

Source: General Administration of Customs, Wind, Nomura Global Economics

Fig. 8: Breakdown of imports by type of trade

Source: General Administration of Customs, Wind, Nomura Global Economics

Appendix A-1

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